Self-examination questions



I Multiple choice questions

Choose the correct answer

1. Error of principle arises when
   (a) There is complete omission of a transaction
   (b) There is partial omission of a transaction
   (c) Distinction is not made between capital and revenue items
   (d) There are wrong postings and wrong castings

2. Errors not affecting the agreement of trial balance are
   (a) Errors of principle (b) Errors of overcasting
   (c) Errors of undercasting (d) Errors of partial omission

3. The difference in trial balance is taken to
   (a) The capital account (b) The trading account
   (c) The suspense account (d) The profit and loss account

4. A transaction not recorded at all is known as an error of
   (a) Principle (b) Complete omission
   (c) Partial omission (d) Duplication

5. Wages paid for installation of machinery wrongly debited to wages account is an error of
   (a) Partial omission (b) Principle
   (c) Complete omission (d) Duplication

6. Which of the following errors will not affect the trial balance?
   (a) Wrong balancing of an account
   (b) Posting an amount in the wrong account but on the correct side
   (c) Wrong totalling of an account
   (d) Carried forward wrong amount in a ledger account

7. Goods returned by Senguttuvan were taken into stock, but no entry was passed in the books. While rectifying this error, which of the following accounts should be debited?
   (a) Senguttuvan account (b) Sales returns account
   (c) Returns outward account (d) Purchases returns account

8. A credit purchase of furniture from Athiyaman was debited to purchases account. Which of the following accounts should be debited while rectifying this error?
   (a) Purchases account (b) Athiyaman account
   (c) Furniture account (d) None of these

9. The total of purchases book was overcast. Which of the following accounts should be debited in the rectifying journal entry?
   (a) Purchases account (b) Suspense account
   (c) Creditor account (d) None of the above

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